City of
FRESNO
Amy K. Aller
City Clerk

FILED
AUG 07 2026
FRESNO COUNTY CLERK
By _____ DEPUTY

CLERK'S CERTIFICATION

I, Amy K. Aller, City Clerk of the City of Fresno, County of Fresno, State of California, do hereby certify the foregoing to be a full, true and correct copy of City Council Ordinance No. 2026-21, Bill No. B-21 adopted on July 30, 2026, now on file in my office.

IN, WITNESS WHEREOF, I have hereunto set my hand and affixed the Seal of the City of Fresno, California this 7th day of August 2026.

Amy K. Aller
City Clerk

By:_____
Bernard Canez, Assistant City Clerk

FILED
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BY DEPUTY

BILL NO. 21

ORDINANCE NO. 2026-21

AN ORDINANCE OF THE CITY OF FRESNO, CALIFORNIA IMPOSING A TRANSACTIONS AND USE TAX TO BE ADMINISTERED BY THE CALIFORNIA DEPARTMENT OF TAX AND FEE ADMINISTRATION

WHEREAS, the City Council of the City of Fresno has ordered a ballot measure (Measure) for a one-half of one percent (0.5%) Transactions (Sales) and Use Tax increase to be submitted to the voters of the City at the November 3, 2026, statewide general election; and

WHEREAS, should the voters approve the Measure, the California Department of Tax and Fee Administration (Department) requires that an ordinance be in place for the collection of that tax, which is imposed under the part in the California Revenue and Taxation Code known as the "Transactions and Use Tax Law"; and

WHEREAS, the City Council desires to adopt an ordinance reflecting the additional tax rate and applicable requirements of the Department and the Transactions and Use Tax Law, contingent upon voters approving the Measure.

NOW, THEREFORE, THE COUNCIL OF THE CITY OF FRESNO DOES ORDAIN AS FOLLOWS:

SECTION 1. Article 16 is added to Chapter 7 of the Fresno Municipal Code to read:

ARTICLE 16

FRESNO PUBLIC SAFETY, INFRASTRUCTURE RESTORATION, AND CITY GENERAL SERVICES TRANSACTIONS AND USE TAX

Date Adopted: 07/30/2026
Date Approved: 08/07/2026
Effective Date: 07/30/2026

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Section	7-1601	Title
	7-1602	Operative Date
	7-1603	Purpose
	7-1604	Contract with State
	7-1605	Transactions Tax Rate
	7-1606	Place of Sale
	7-1607	Use Tax Rate
	7-1608	Adoption of Provisions of State Law
	7-1609	Limitations On Adoption Of State Law and Collection of Use Taxes
	7-1610	Permit Not Required
	7-1611	Exemptions and Exclusions
	7-1612	Amendments
	7-1613	Enjoining Collection Forbidden
	7-1614	Severability
	7-1615	Effective Date
	7-1616	Fiscal Oversight
	7-1617	Termination Date
	7-1618	Codification

SECTION 7-1601. TITLE. This ordinance shall be known as the Fresno Public Safety, Infrastructure Restoration, and City General Services Tax Ordinance. The City of Fresno hereinafter shall be called "City." This ordinance shall be applicable in the incorporated territory of the City.

SECTION 7-1602. OPERATIVE DATE. "Operative Date" means the first day of the second calendar quarter commencing more than 110 days after the adoption of this Ordinance. The Operative Date of this ordinance, if approved by voters, shall be July 1, 2027.

SECTION 7-1603. PURPOSE. This ordinance is adopted to achieve the following, among other purposes, and directs that the provisions hereof be interpreted in order to accomplish those purposes:

(a) To impose a retail transactions and use tax in accordance with the provisions of Part 1.6 (commencing with Section 7251) of Division 2 of

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the Revenue and Taxation Code and Section 7285.9 of Part 1.7 of Division 2 which authorizes the City to adopt this tax ordinance which shall be operative if a majority of the electors voting on the measure vote to approve the imposition of the tax at an election called for that purpose. The tax is a general tax whose proceeds shall be deposited in the City's general fund and expended for any lawful purposes of the City.

(b) To adopt a retail transactions and use tax ordinance that incorporates provisions identical to those of the Sales and Use Tax Law of the State of California insofar as those provisions are not inconsistent with the requirements and limitations contained in Part 1.6 of Division 2 of the Revenue and Taxation Code.

(c) To adopt a retail transactions and use tax ordinance that imposes a tax and provides a measure therefore that can be administered and collected by the California Department of Tax and Fee Administration in a manner that adapts itself as fully as practicable to, and requires the least possible deviation from, the existing statutory and administrative procedures followed by the California Department of Tax and Fee Administration in administering and collecting the California State Sales and Use Taxes.

(d) To adopt a retail transactions and use tax ordinance that can be administered in a manner that will be, to the greatest degree possible, consistent with the provisions of Part 1.6 of Division 2 of the Revenue and Taxation Code, minimize the cost of collecting the transactions and use

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taxes, and at the same time, minimize the burden of record keeping upon persons subject to taxation under the provisions of this ordinance.

SECTION 7-1604. CONTRACT WITH STATE. Prior to the operative date, the City shall contract with the California Department of Tax and Fee Administration to perform all functions incident to the administration and operation of this transactions and use tax ordinance; provided, that if the City shall not have contracted with the California Department of Tax and Fee Administration prior to the operative date, it shall nevertheless so contract and in such a case the operative date shall be the first day of the first calendar quarter following the execution of such a contract.

SECTION 7-1605. TRANSACTIONS TAX RATE. For the privilege of selling tangible personal property at retail, a tax is hereby imposed upon all retailers in the incorporated territory of the City at the rate of 0.5% (one-half of one percent) of the gross receipts of any retailer from the sale of all tangible personal property sold at retail in said territory on and after the operative date of this ordinance.

SECTION 7-1606. PLACE OF SALE. For the purposes of this ordinance, all retail sales are consummated at the place of business of the retailer unless the tangible personal property sold is delivered by the retailer or his agent to an out-of-state destination or to a common carrier for delivery to an out-of-state destination. The gross receipts from such sales shall include delivery charges, when such charges are subject to the state sales and use tax, regardless of the place to which delivery is made. In the event a retailer has no permanent place of business in the State or has more than one place of business, the place or places

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at which the retail sales are consummated shall be determined under rules and regulations to be prescribed and adopted by the California Department of Tax and Fee Administration.

SECTION 7-1607. USE TAX RATE. An excise tax is hereby imposed on the storage, use or other consumption in the City of tangible personal property purchased from any retailer on and after the operative date of this ordinance for storage, use or other consumption in said territory at the rate 0.5% (one-half of one percent) of the sales price of the property. The sales price shall include delivery charges when such charges are subject to state sales or use tax regardless of the place to which delivery is made.

SECTION 7-1608. ADOPTION OF PROVISIONS OF STATE LAW. Except as otherwise provided in this ordinance and except insofar as they are inconsistent with the provisions of Part 1.6 of Division 2 of the Revenue and Taxation Code, all of the provisions of Part 1 (commencing with Section 6001) of Division 2 of the Revenue and Taxation Code are hereby adopted and made a part of this ordinance as though fully set forth herein.

SECTION 7-1609. LIMITATIONS ON ADOPTION OF STATE LAW AND COLLECTION OF USE TAXES. In adopting the provisions of Part 1 of Division 2 of the Revenue and Taxation Code:

(a) Wherever the State of California is named or referred to as the taxing agency, the name of this City shall be substituted therefore. However, the substitution shall not be made when:

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(1) The word "State" is used as a part of the title of the State Controller, State Treasurer, State Treasury, or the Constitution of the State of California;

(2) The result of that substitution would require action to be taken by or against this City or any agency, officer, or employee thereof rather than by or against the California Department of Tax and Fee Administration, in performing the functions incident to the administration or operation of this Ordinance.

(3) In those sections, including, but not necessarily limited to sections referring to the exterior boundaries of the State of California, where the result of the substitution would be to:

(i) Provide an exemption from this tax with respect to certain sales, storage, use or other consumption of tangible personal property which would not otherwise be exempt from this tax while such sales, storage, use or other consumption remain subject to tax by the State under the provisions of Part 1 of Division 2 of the Revenue and Taxation Code, or;

(ii) Impose this tax with respect to certain sales, storage, use or other consumption of tangible personal property which would not be subject to tax by the state under the said provision of that code.

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(4) In Sections 6701, 6702 (except in the last sentence thereof), 6711, 6715, 6737, 6797 or 6828 of the Revenue and Taxation Code.

(b) The word "City" shall be substituted for the word "State" in the phrase "retailer engaged in business in this State" in Section 6203 and in the definition of that phrase in Section 6203.

(1) "A retailer engaged in the business in the district" shall include any retailer that, in the preceding calendar year or the current calendar year, has total combined sales of tangible personal property in this state or for delivery in the state by the retailer and all persons related to the retailer that exceeds five hundred thousand dollars ($500,000.00). For purposes of this section, a person is related to another person if both persons are related to each other pursuant to Section 267(b) of the Internal Revenue Code and the regulations thereunder.

SECTION 7-1610. PERMIT NOT REQUIRED. If a seller's permit has been issued to a retailer under Section 6067 of the Revenue and Taxation Code, an additional transactor's permit shall not be required by this ordinance.

SECTION 7-1611. EXEMPTIONS AND EXCLUSIONS.

(a) There shall be excluded from the measure of the transactions tax and the use tax the amount of any sales tax or use tax imposed by the State of California or by any city, city and county, or county pursuant to the

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Bradley-Burns Uniform Local Sales and Use Tax Law or the amount of any state-administered transactions or use tax.

(b) There are exempted from the computation of the amount of transactions tax the gross receipts from:

(1) Sales of tangible personal property, other than fuel or petroleum products, to operators of aircraft to be used or consumed principally outside the county in which the sale is made and directly and exclusively in the use of such aircraft as common carriers of persons or property under the authority of the laws of this State, the United States, or any foreign government.

(2) Sales of property to be used outside the City which is shipped to a point outside the City, pursuant to the contract of sale, by delivery to such point by the retailer or his agent, or by delivery by the retailer to a carrier for shipment to a consignee at such point. For the purposes of this paragraph, delivery to a point outside the City shall be satisfied:

(i) With respect to vehicles (other than commercial vehicles) subject to registration pursuant to Chapter 1 (commencing with Section 4000) of Division 3 of the Vehicle Code, aircraft licensed in compliance with Section 21411 of the Public Utilities Code, and undocumented vessels registered under Division 3.5 (commencing with Section 9840) of the Vehicle Code by registration to an out-of-City

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address and by a declaration under penalty of perjury, signed by the buyer, stating that such address is, in fact, his or her principal place of residence; and

(ii) With respect to commercial vehicles, by registration to a place of business out-of-City and declaration under penalty of perjury, signed by the buyer, that the vehicle will be operated from that address.

(3) The sale of tangible personal property if the seller is obligated to furnish the property for a fixed price pursuant to a contract entered into prior to the operative date of this ordinance.

(4) A lease of tangible personal property which is a continuing sale of such property, for any period of time for which the lessor is obligated to lease the property for an amount fixed by the lease prior to the operative date of this ordinance.

(5) For the purposes of subparagraphs (3) and (4) of this section, the sale or lease of tangible personal property shall be deemed not to be obligated pursuant to a contract or lease for any period of time for which any party to the contract or lease has the unconditional right to terminate the contract or lease upon notice, whether or not such right is exercised.

(c) There are exempted from the use tax imposed by this ordinance, the storage, use or other consumption in this City of tangible personal property:

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(1) The gross receipts from the sale of which have been subject to a transactions tax under any state-administered transactions and use tax ordinance.

(2) Other than fuel or petroleum products purchased by operators of aircraft and used or consumed by such operators directly and exclusively in the use of such aircraft as common carriers of persons or property for hire or compensation under a certificate of public convenience and necessity issued pursuant to the laws of this State, the United States, or any foreign government. This exemption is in addition to the exemptions provided in Sections 6366 and 6366.1 of the Revenue and Taxation Code of the State of California.

(3) If the purchaser is obligated to purchase the property for a fixed price pursuant to a contract entered into prior to the operative date of this ordinance.

(4) If the possession of, or the exercise of any right or power over, the tangible personal property arises under a lease which is a continuing purchase of such property for any period of time for which the lessee is obligated to lease the property for an amount fixed by a lease prior to the operative date of this ordinance.

(5) For the purposes of subparagraphs (3) and (4) of this section, storage, use, or other consumption, or possession of, or exercise of any right or power over, tangible personal property shall be deemed not to be obligated pursuant to a contract or lease for any

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period of time for which any party to the contract or lease has the unconditional right to terminate the contract or lease upon notice, whether or not such right is exercised.

(6) Except as provided in subparagraph (7), a retailer engaged in business in the City shall not be required to collect use tax from the purchaser of tangible personal property, unless the retailer ships or delivers the property into the City or participates within the City in making the sale of the property, including, but not limited to, soliciting or receiving the order, either directly or indirectly, at a place of business of the retailer in the City or through any representative, agent, canvasser, solicitor, subsidiary, or person in the City under the authority of the retailer.

(7) "A retailer engaged in business in the City" shall also include any retailer of any of the following: vehicles subject to registration pursuant to Chapter 1 (commencing with Section 4000) of Division 3 of the Vehicle Code, aircraft licensed in compliance with Section 21411 of the Public Utilities Code, or undocumented vessels registered under Division 3.5 (commencing with Section 9840) of the Vehicle Code. That retailer shall be required to collect use tax from any purchaser who registers or licenses the vehicle, vessel, or aircraft at an address in the City.

(8) Any person subject to use tax under this ordinance may credit against that tax any transactions tax or reimbursement for

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transactions tax paid to a district imposing, or retailer liable for a transactions tax pursuant to Part 1.6 of Division 2 of the Revenue and Taxation Code with respect to the sale to the person of the property the storage, use or other consumption of which is subject to the use tax.

SECTION 7-1612. AMENDMENTS. All amendments subsequent to the effective date of this ordinance to Part 1 of Division 2 of the Revenue and Taxation Code relating to sales and use taxes and which are not inconsistent with Part 1.6 and Part 1.7 of Division 2 of the Revenue and Taxation Code, all amendments to Part 1.6 and Part 1.7 of Division 2 of the Revenue and Taxation Code, and all amendments to the California Constitution or all amendments to other applicable provisions of California law shall automatically become a part of this ordinance, provided however, that no such amendment shall operate so as to affect the rate of tax imposed by this ordinance.

SECTION 7-1613. ENJOINING COLLECTION FORBIDDEN. No injunction or writ of mandate or other legal or equitable process shall issue in any suit, action or proceeding in any court against the State or the City, or against any officer of the State or the City, to prevent or enjoin the collection under this ordinance, or Part 1.6 of Division 2 of the Revenue and Taxation Code, of any tax or any amount of tax required to be collected.

SECTION 7-1614. SEVERABILITY. If any provision of this ordinance or the application thereof to any person or circumstance is held invalid, the remainder of

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the ordinance and the application of such provision to other persons or circumstances shall not be affected thereby.

SECTION 7-1615. EFFECTIVE DATE. This ordinance relates to the levying and collecting of the City transactions and use taxes and shall be effective immediately upon adoption, but shall have no force or effect, and shall not be sent for publication or considered adopted, unless a majority of the voters approve the Measure at the November 3, 2026, election. If the Measure is approved by the voters, the tax imposed by this ordinance shall be operative beginning on July 1, 2027, in accordance with California Revenue and Taxation Code section 7265.

SECTION 7-1616. FISCAL OVERSIGHT.

(a) By no later than December 31 of each year after the operative date, the City's independent auditors shall complete a report reviewing the collection, management and expenditure of revenue from the tax authorized by this Chapter. The auditors' report shall be a public document.

(b) An oversight committee consisting of no fewer than seven residents of the City to review and report on the receipt of revenue and expenditure of funds from the tax authorized by this Chapter. The auditors' annual report required by subparagraph (A) of this section shall be provided to the committee.

(c) By February 28, 2028, and each February 28 after the operative date, the committee shall review the auditors' report, for each year in which the auditors prepare such a report, and issue a public report to the City Council regarding the use of revenue and other such matters as

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assigned by the City Council. The committee shall be subject to the Ralph M. Brown Act.

(d) By July 1, 2027, the City Council shall adopt a resolution establishing the composition of the committee required by subparagraph (b) of this section, setting the terms of office of the committee members, and defining the scope of the committee's responsibilities, which at a minimum shall include reviewing the annual auditor's report regarding the receipt and use of revenue from the tax authorized by this Chapter.

(e) By December 31, 2027, in accordance with Article IX of the City Charter, the Mayor shall appoint and the City Council shall approve all members of the committee.

SECTION 7-1617. TERMINATION DATE. The authority to levy the tax imposed by this ordinance shall expire on the sooner of the following:

(a) The tenth anniversary of the Operative Date of this ordinance;

(b) The Operative Date of a new County of Fresno ordinance governed by California Public Utilities Code sections 142000 ("Fresno County Transportation Improvement Act") or 18000 ("Local Transportation Authority and Improvement Act") for which:

(1) The transactions and use tax rate is equal to or greater than this Ordinance; and

(2) The City of Fresno is a beneficial recipient of tax proceeds for transportation infrastructure and public transportation;

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(c) The Operative Date of the Fresno County Transportation Improvement Act, a pending citizen initiative whose certificate of sufficiency was rendered on July 8, 2026.

SECTION 7-1618. CODIFICATION. Upon adoption of this ordinance pursuant to the voter approval referenced herein, the City Clerk, in consultation with the City Attorney, is hereby authorized and directed to codify this ordinance in the Fresno Municipal Code.

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* * * * * * * * * * * * * * *

STATE OF CALIFORNIA)
COUNTY OF FRESNO) ss.
CITY OF FRESNO)

I, AMY K. ALLER, City Clerk of the City of Fresno, certify that the foregoing ordinance was adopted by the Council of the City of Fresno, at a regular meeting held on the 30th day of July 2026.

AYES : Karbassi, Arias, Maxwell, Vang, Richardson, Esparza
NOES : Perea
ABSENT : None
ABSTAIN : None

Mayor Approval: August 7, 2026
Mayor Approval/No Return: N/A, 2026
Mayor Veto: N/A, 2026
Council Override Vote: N/A, 2026

AMY K. ALLER
City Clerk

By: _____
Deputy Date

APPROVED AS TO FORM:
ANDREW JANZ
City Attorney

By: _____
Andrew Janz Date 8/7/2026

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July 31, 2026

Council Adoption: 07/30/2026
Mayor Approval:
Mayor Veto:
Override Request:

TO: MAYOR JERRY DYER

FROM: AMY K. ALLER
City Clerk

SUBJECT: TRANSMITTAL OF COUNCIL ACTION FOR APPROVAL OR VETO

At the City Council meeting of July 30, 2026, Council adopted the attached Bill No. 21 Ordinance No. 2026-21 ***BILL (for Introduction and Adoption) – Imposing a Transactions by the California Department of Tax and Fee Administration (Subject to Mayor's Veto) 2.-II-2, File ID 26-1028 by the following vote:

Ayes	: Karbassi, Arias, Maxwell, Vang, Richardson, Esparza
Noes	: Perea
Absent	: None
Abstain	: None

Correction: During approval of the agenda, City Clerk Aller announced the title has been updated to include ***BILL (for Introduction and Adoption) – Imposing a Transactions by the California Department of Tax and Fee Administration (Subject to Mayor's Veto)

And the correction was read for Section 7-1607. USE TAX RATE. There was an error in the language. The tax rate should read 0.50% (half percent) of the sales price of the property.

Please indicate either your formal approval or veto by completing the following sections and executing and dating your action. Please file the completed memo with the Clerk's office on or before August 10, 2026. In computing the ten day period required by Charter, the first day has been excluded and the tenth day has been included unless the 10th day is a Saturday, Sunday, or holiday, in which case it has also been excluded. Failure to file this memo with the Clerk's office within the required time limit shall constitute approval of the ordinance, resolution or action, and it shall take effect without the Mayor's signed approval.

APPROVED /NO RETURN: _____

VETOED for the following reasons: (Written objections are required by Charter; attach additional sheets if necessary.)

_____

_____

_____ Date: 8/7/2026

Jerry Dyer, Mayor

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COUNCIL OVERRIDE ACTION: Date: _____

Ayes :
Noes :
Absent :
Abstain :

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